

buying Russia. If I had gotten out, and it kept going up, it could have been the end of my career. Remember, Russia was 40 percent of my benchmark.

Given what you understood about the true situation, weren't you concerned about an overnight collapse?

I was, but what I did was to be a bit underweight in Russia relative to the benchmark. So if it suddenly collapsed, I would still do better than the benchmark. The day the market collapsed, I felt physically sick because I was only underweight by about 3 percent, and this was a situation regarding which I had developed enormous conviction over the past nine months.

What did you do?

Well, the next day, the market fortuitously opened up nearly 30 percent. So with the compounding effect, the market was back to about even with its price before the previous day's break.

Why did it bounce back so much the next day?

The Yeltsin rumor was denied by the government, and people who had missed out on the Russian bull market suddenly saw the previous day's sharp correction as an amazing buying opportunity. I felt an enormous sense of relief. Within 10 minutes of the opening, I started aggressively selling off the Russian stocks in our portfolio. The market still finished that day up 24 percent, but the reason I was right to start selling that day was that the spell created by the senseless bull market had been broken by the previous day's price collapse. When markets are trending up strongly, and there is bad news, the bad news counts for nothing. But if there is a break that reminds people what it is like to lose money in equities, then suddenly the buying is not mindless anymore. People start looking at the fundamentals, and in this case I knew the fundamentals were very ugly indeed.

What happened after that day?

It started to slide. By February 1998, it was down 50 percent. Normally, it might seem to be a good idea to cover shorts, or in my case, reinstate long positions, after a decline of this magnitude. But I thought that the